

1-C:

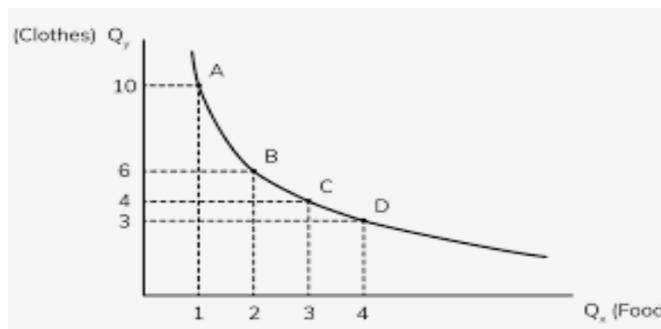
Marginal utility is the change in total utility from consuming one more unit. It becomes **zero** when **total utility stops increasing — at its maximum point.** On a total utility curve, this is where total utility is at its maximum. So, point C represents the point where **marginal utility is zero.**

A and B: This is before the total utility peaks — MU is still greater than 0, as TU is still increasing.

D: Beyond the point where TU is at its maximum, MU is in negative, which contributes to a fall in total utility. Also, here TU is zero. This is incorrect, as we are interested in an option where MU is zero.

2-B:

Indifference curves are generally **convex to the origin as can be seen below** because of the **diminishing marginal rate of substitution** — as a consumer gets more of one good, they're willing to give up less of the other. This occurs due to diminishing marginal utility. This explains why key B is correct.



A: If indifference curves were concave to the origin, it would indicate an increasing marginal rate of substitution (MRS). This means that as a consumer gets more of one good, they are willing to give up increasing amounts of the other good to get even more of the first good, which is the opposite of the typical assumption of diminishing MRS. Hence, key D is incorrect.

C: Indifference curves can **never intersect** — that would mean the same bundle gives two different utility levels, which is illogical.

D: Lower curves show **less** satisfaction; a consumer always prefers a **higher** indifference curve because higher indifference curves represent a higher level of satisfaction.

3-C:

Switching from cars to motorcycles may reduce congestion and pollution, but **motorcycles are less safe**, increasing accident risk. So **reduced safety standards** are a **cost** of this change. This explains why key C will be correct

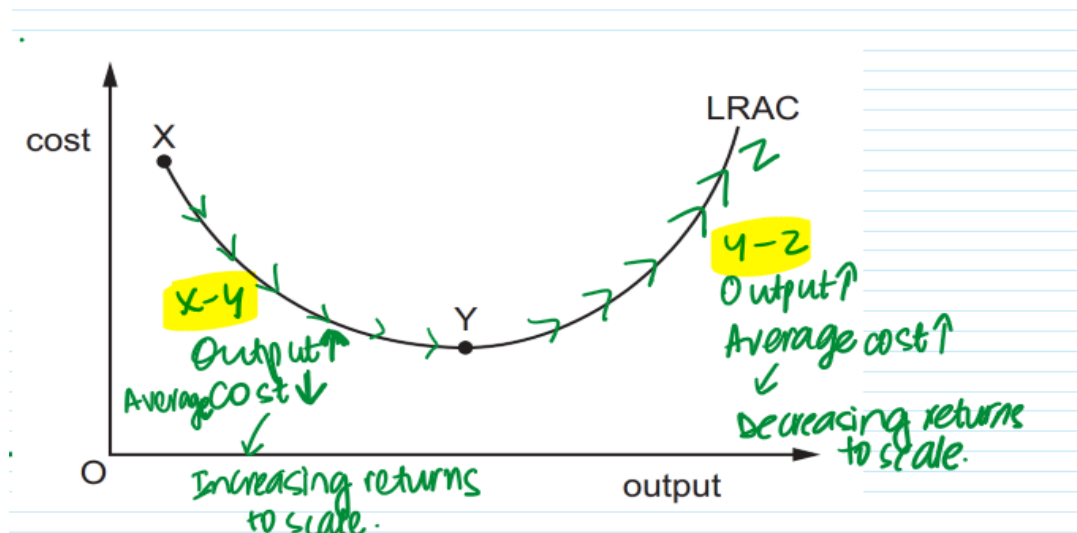
A: Reduced travel times are a **private benefit**, not a cost.

B: Reduced emissions are a **positive externality**, not a cost.

D: Reduced queues improve traffic flow; this is again, a **benefit**, not a cost.

4-B:

From X to Y, **average costs are falling as the level of output increases**, showing **increasing returns to scale**. This is because as output increases, firms become more efficient due to specialisation, bulk buying, etc. This explains the downward movement of LRAC.



A: A fall in **total fixed cost** would lower cost, but it doesn't explain the **movement along the LRAC curve** over output levels. Change in LRAC over levels of output is associated with returns to scale.

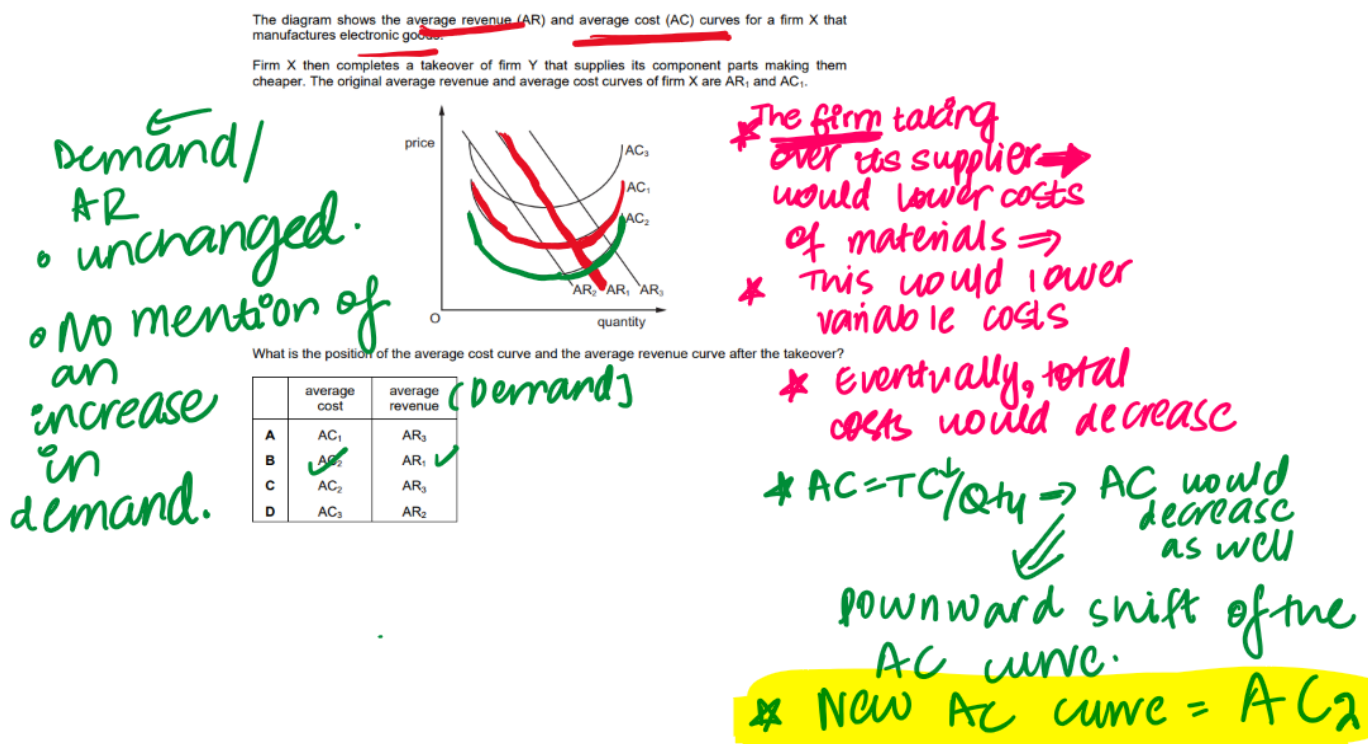
C: Diseconomies cause the LRAC to **rise**, not fall.

D: In the **long run**, all factors are variable — this is not unique to the stretch from X to Y.

5-B:

After the takeover with the supplier, cheaper raw materials can be sourced. And when variable costs decrease, total costs will decrease. Hence, average **costs fall** due to cheaper components.

But Average revenue curve **won't change** if consumer demand remains the same. So AC shifts down to **AC2**, but AR stays at **AR1**.



6-B:

In this case, the firm is small and **not aiming to maximise profit** but to earn enough to **survive and meet minimum targets**. This is classic **profit satisficing**, where the goal is "good enough" profits rather than the highest possible.

A: Profit maximising means pushing for the **highest** possible profit, which the firm clearly isn't doing.

C: Revenue maximisation is about earning the most **total revenue** ; this isn't mentioned.

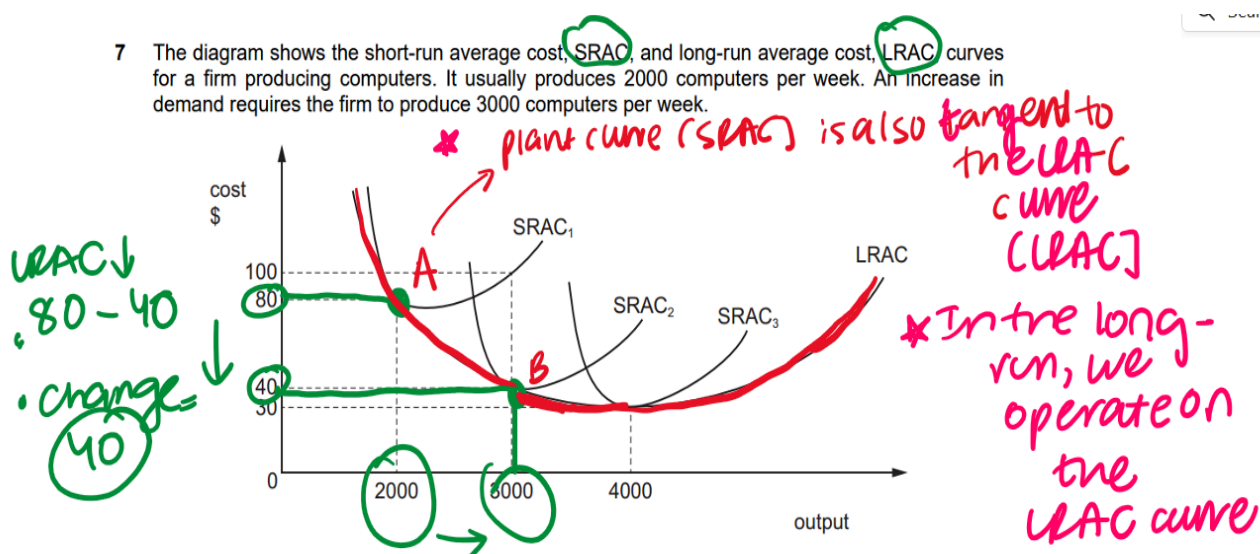
D: Sales maximisation is about **selling as much as possible**, often at the cost of lower profit — again, not their aim here.

7-B:

In the long run, firms operate on the **LRAC curve**.

As can be seen below, since there is a decrease in LRAC curve from 80 to 40, this means that there is a change of 40.

This explains why key B is correct.



8-A:

A **key feature** of monopolistic competition is **easy entry and exit**. This keeps **long-run profits at normal levels** because new firms enter when profits exist. **In the long-run, a monopolistically competitive firm faces no barriers**. This explains why key A will be correct.

B: Products are **differentiated**, not identical — that's **perfect competition**.

C: Firms are **not price takers** — they have some control over price due to differentiation. Firms in perfect competition are price takers.

D: There are **many sellers (20-25)**, not a small number; a small number of firms represents an oligopoly.

9-C:

When **ownership and control** are separate, like in big firms with shareholders and managers, **managers may pursue personal goals** instead of profit; this is the **principal-agent problem**. This is why C is correct.

A: Contestable markets refer to **ease of entry/exit**, which raises the threat of potential competition.

B: Diseconomies of scale involve rising costs at high output — not a behavioural issue.

D: The prisoner's dilemma relates to **game theory and collusion, as seen in a duopoly**, not internal corporate structure.

10-D:

Horizontal integration means two firms in the **same industry and at the same production stage** (e.g., two car manufacturers merging). This helps gain market share or economies of scale.

A: Different industry = **conglomerate merger**.

B: Same stage but different industry is not horizontal.

C: Same industry, different stage = **vertical integration**, not horizontal.

11-D:

Regulation involves **rules, restrictions, or laws** directly controlling behaviour. Taxation is a **market-based instrument**, not a regulation. Although it affects behaviour, it's not a **regulatory law or rule** — it works through **price signals**, not bans or licenses.

A: A **ban** is a form of regulation — it directly restricts consumption.

B: Making seatbelts compulsory is also a **regulatory law** — enforcing safety.

C: Licensing water extraction is a **form of control** over resource usage — regulation again.

12-B:

A **subsidy reduces costs** for producers. Removing it means costs **go up**, so **private marginal cost** increases. This shifts the **supply curve leftward**, leading to higher prices and lower quantity. Hence, key B is correct.

A: Deadweight loss would **increase** if the service is under-consumed after subsidy removal.

C: Private marginal **benefit** is a **demand** concept — unchanged by subsidy removal.

D: Marginal social costs(**mpc+mec**) would not decrease, as a **removal of subsidy would directly increase costs (mpc)**.

13-D:

If more people enter the labour force, this would raise the supply of labor, and since **competition for labor increases, wages will fall due to “surplus of labor”**. That's why the graph shows **falling average wage growth**.

A: A decrease in supply would raise wages, not lower them.

B: Lower interest rates would reduce costs of borrowing, raising investment. And when this leads to a rise in production, there will be a subsequent rise in the demand for labor, resulting in a rise in wages.

C: Higher productivity increases demand for labor, and in turn wages rise as well.

14-B:

Diminishing marginal returns to labor occur when each additional worker adds **less output** than the one before.

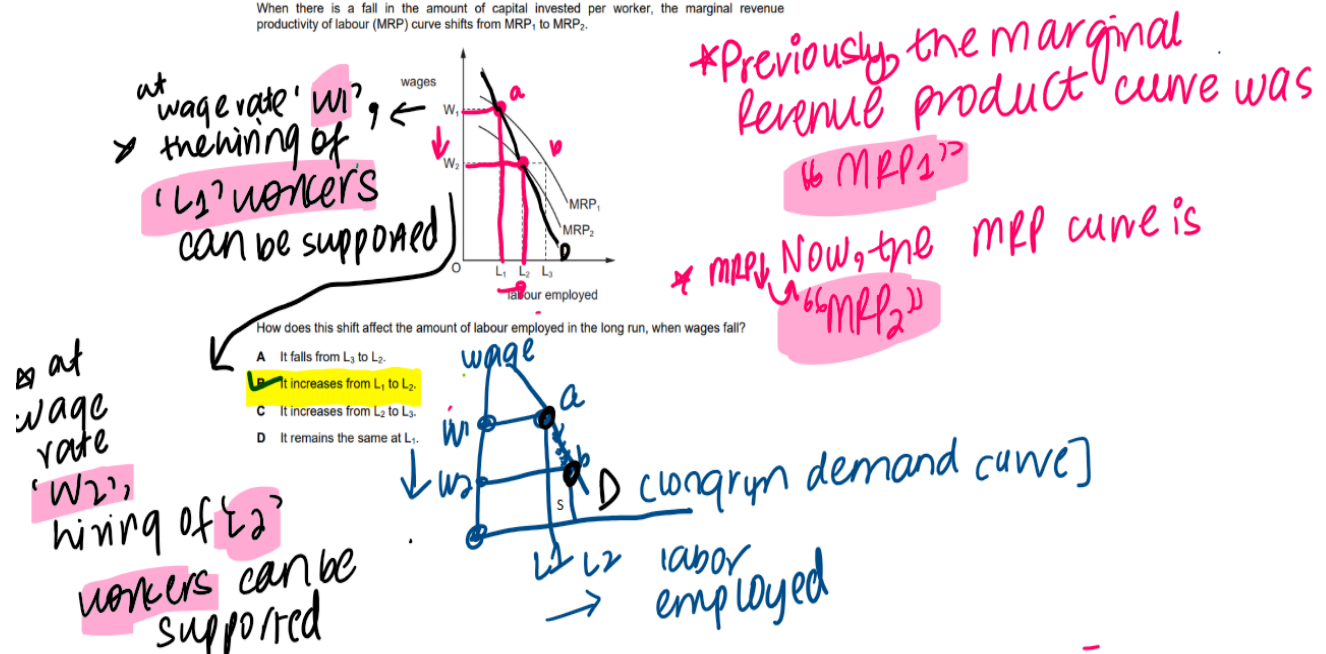
No MPL (additions in output as a result of employing an additional unit of labor

- 1st $\rightarrow +7$
- 2nd $\rightarrow +10$ (additional output is higher than the last worker $\rightarrow$ MPL rises)
- 3rd $\rightarrow +9$ (first fall in additional output at 3rd worker ; additional output is lower than the last worker $\rightarrow$ MPL decreases)
- 4th $\rightarrow +8$
So, diminishing returns start **with the third worker**.

15-B:

15 In the diagram, D represents the long-run demand curve for labour in a firm operating in an imperfect market.

When there is a fall in the amount of capital invested per worker, the marginal revenue productivity of labour (MRP) curve shifts from MRP_1 to MRP_2 .



16-B:

The **primary function** of money is to act as a **medium of exchange**; it allows people to buy and sell goods and services without bartering. This removes the need for a **double coincidence of wants** and makes transactions far more efficient.

A: Money isn't **just bank deposits** — it also includes cash, coins, and near money.

C: Money's **value** is not equal to its **production cost**.

D: The **double coincidence of wants** is a problem in **barter systems**, not in money-based economies; money solves this issue.

17-D:

If **unemployment** is rising while **job vacancies** are also rising, it means the unemployed don't have the **skills** needed for available jobs ; this **skill mismatch represents occupational immobility**. This means that the labour force **can't match** supply to demand.

A: Falling economic growth would reduce **job vacancies**, not increase them.

B: If economic growth is rising, we'd expect **both jobs and employment** to rise — this doesn't explain the mismatch.

C: **Geographical mobility** helps workers move to jobs ; it **reduces**, not causes, this type of mismatch.

18-D:

NRU comprises frictional, seasonal and structural unemployment.

More training increases **skills and flexibility**. Since this improves occupational mobility, it will help more people find jobs. This **lowers the natural rate of unemployment**, particularly **structural unemployment**.

A: Higher unemployment benefits may reduce incentives to work. This would increase voluntary unemployment, pushing the natural rate up.

B: More militant unions may push for a rise in wages, which can generate unemployment — also increasing the natural rate.

C: A higher minimum wage might raise unemployment if it's **above equilibrium**, especially for low-skilled workers.

19-C:

Correct Answer: C – the marginal propensity to consume is 0.5

MPC = change in consumption / change in income

$$= (900 - 800) / (1200 - 1000)$$

$$= 100 / 200 = 0.5$$

The formula for APC is consumption/income

APC changes — it was $800/1000 = 0.8$ and now $900/1200 = 0.75$.

This explains why C is right.

20-A:

Unemployment rate = $(\text{unemployed} \div \text{labour force}) \times 100$

Note that the labor force is equal to employed+unemployed.

$$= (300,000 \div 1,200,000) \times 100 = 25\%$$

21-C:

Pareto optimality/efficiency is a concept from **micro-economics**, not a standard **macroeconomic policy goal**.

It means no one can be made better off without making someone else worse off; it's more about **resource allocation** than macroeconomic management. Hence, key C is correct.

A: Economic development is a **broad macro goal**, especially for developing countries.

B: Exchange rate stability is a classic macro goal, part of the **external stability** objective.

D: A satisfactory balance of payments is also a macro goal.

22-D:

An increase in **aggregate demand** moves the economy from **F to J** — this is a **movement along the Short-run Phillips Curve**, where **unemployment falls and inflation rises**.

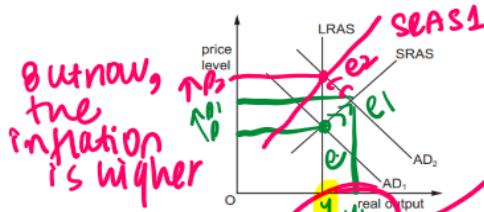
However, over time, **inflation expectations increase**, and when firms have to grant higher wages to meet workers' demand for higher wages, costs of production decrease, which brings about a **leftward shift in the Aggregate supply curve**.

This leads to the **short-run Phillips curve to shift towards the right**. The economy moves to **K**, where unemployment returns to the **natural rate**, but now at a **higher level of inflation**.

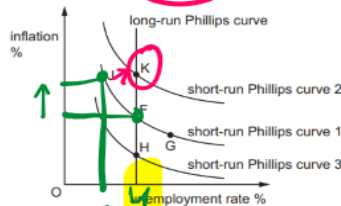
This reflects the **expectations-augmented Phillips curve model**. This can be seen visually below.

y : Natural rate

22 The diagram shows an increase in aggregate demand (AD) from AD_1 to AD_2 .



How can the subsequent impact on short-run and long-run macroeconomic equilibrium positions be shown using expectations-augmented Phillips curves?



- A F to G to H
- B F to G to K
- C F to J to H
- D F to J to K

(move along SRPC1)
 $\star F-J: AD \uparrow \rightarrow \text{inflation} \uparrow, U_n \downarrow$
 $\star J-K: AS \downarrow \rightarrow \text{SRPC shifts to the right from SRPC1 to SRPC2}$

Economy moves back to natural rate

23-A:

High interest rates raise the **cost of borrowing** for businesses. When this raises business costs, this can lower Aggregate supply, leading to cost push inflation. Hence, A is correct.

B: Higher borrowing costs for the government may reduce government spending, which **lowers Aggregate demand**, lowering demand pull inflation.

C: A higher exchange rate (appreciation) makes imports **cheaper**, which helps **reduce cost push** inflation. Appreciation also causes a BOT deficit, thereby decreasing AD and demand-pull inflation.

D: A higher opportunity cost of spending tends to increase savings, and when consumption falls, Aggregate demand reduces, leading to a fall in demand pull inflation.

24-B:

The **marginal efficiency of capital (MEC)** is the **expected rate of return on investment**. If MEC is high, firms are more likely to **invest** when interest rates fall. This determines how much national income increases after a rate cut — if returns are attractive, investment will follow, raising aggregate demand and income.

A: Marginal cost represents how much additional costs increase upon producing an extra unit.

C: Marginal product relates to labour or capital productivity.

D: Marginal utility is a **consumer-side** concept; it shows the change in satisfaction experienced by a consumer upon consuming an additional unit of good.

25-B:

A decrease in the exchange rate of the economy is an **expenditure-switching policy**; it makes **imports more expensive**. The goal is to **switch consumer spending from imported goods to domestically produced goods**. Hence key B represents an expenditure switching policy.

A: Decreasing government spending is **expenditure-reducing**, not switching.

C: Higher income taxes reduce **overall consumption**, again expenditure-reducing.

D: Higher interest rates is a contractionary monetary policy tool, which is again expenditure-reducing.

26-A:

->The **financial account** of the balance of payments includes **capital flows**, like **foreign direct investment (FDI)** and **portfolio investment**. FDI will be part of financial acc.

->**Interest, profits, and dividends** are **primary income flows**, which belong in the **current account** under **primary income**. So, A is correct.

27-D:

The **Human Development Index (HDI)** improves on income per capita by including **education** and health. Education is measured through mean years of schooling and expected years of schooling. Health is measured through life expectancy at birth.

One of its main components is **life expectancy at birth**, representing the health dimension. Hence key D is correct.

A: Average hours worked is **not part** of HDI.

B: HDI doesn't adjust for **pollution**; rather MEW adjusts for pollution.

C: Inequality isn't a part of HDI.

28-B:

Grants that are tied to purchasing donor country goods represent **tied aid** — a form of aid that **comes with conditions**, like requiring the recipient country to **buy goods or services from the donor**. This limits the recipient's **freedom**, making it **restrictive**.

A: Food aid for disasters is **humanitarian aid**. There is no mention of conditions here. Hence, it is not a tied aid.

C: Long-term loans at low interest do not represent any restrictions. Hence, it is not a tied aid.

D: Here technical assistance is provided by skilled workers without any strings attached. Hence, it is not a tied aid.

29-A:

More doctors → **better healthcare** → **longer life expectancy**, **lower infant mortality**, and **healthier workers**. All of this boosts **living standards** directly. This is why option A becomes correct.

B: Gold reserves = financial asset, but don't directly raise living standards.

C: More people per house suggests **overcrowding**; that lowers welfare.

D: A larger money supply alone can lead to **inflation**, not higher real living standards.

30-D:

This option reflects **mutual benefit** from globalisation:

- The **low-income country** supplies labour and receives **wages sent home**, boosting its income.
- The **high-income country** fills labour shortages during harvests.
Both benefit — this is a **classic win-win trade relationship**.

A: Corruption and delayed contracts hurt development in the low income country.

B: Liquidity problems and high-interest loans are **damaging for the low income country**, not supportive.

C: MNCs repatriating profits exploits the low-income country.

This explains why key D is correct.

